GST for ZonoFit memberships: 6 things to build

Plain rules for developers. Each item says what to do, how, and why. Anything marked **gated** must stay switched off for live billing until the CA approves it. Worked examples are in ZonoFit_Demo_Invoice_Cases.pdf.

Current confirmed policy (v1)

- Udaipur only · member picks **one primary gym** · **10 mandatory visits** (the old 15 figure is obsolete) · no other gyms or cities · no shop.
- No ordinary refunds (corrections, payment-failure reversals and legal remedies still apply). Leftover eligible credits can buy next month at the same gym.
- 20% haircut on unused credits at membership end; outside-gym use is a future case and disabled in v1. Never apply the haircut twice unless the user confirms.

1 Show tax-inclusive prices and back the 5% out of them

Do this	Every price the customer sees is final. A ₹3,000 membership costs ₹3,000 — never ₹3,150.
How	taxable = gross × 100/105, rounded to the paisa; tax = gross − taxable. ₹3,000 → ₹2,857.14 + ₹142.86 (CGST ₹71.43 + SGST ₹71.43). SAC 999723, no input tax credit. Store money as integer paise; never floats.
Why	Fitness/health-club services moved to 5% (2.5% + 2.5%) without ITC under Notification 15/2025-Central Tax (Rate), effective 22 Sep 2025.

2 Confirm who the legal supplier is before issuing anything (gated)

Do this	Keep a supplier_mode setting: UNCONFIRMED (default, blocks live invoices), A = gym supplies, B = ZonoFit supplies.
How	Mode A + GST-registered gym: invoice in the gym's name and GSTIN, generated by ZonoFit on its behalf only with written authority. Mode A + non-GST gym: commercial receipt, no GST; ZonoFit's own fees are assessed separately. Mode B (registered ZonoFit/Flex): ZonoFit's own qualifying supply at full 5%, even if the gym is non-GST.
Why	A gym's GST status does not decide ZonoFit's own tax. Who supplies the membership decides who invoices and who owes the GST.

3 Bill at the right moment — per membership, not per visit

Do this	Issue one membership invoice when the service starts; if money arrives earlier as an advance, record the GST on the advance and issue a receipt voucher.
How	On payment captured: if an advance applies, book the output GST and link it. On service start: issue the invoice and allocate the advance tax — do not book it again. Visits only count for gym payout. Do not delay tax until the first visit.
Why	Service invoices are normally due within 30 days (Rule 47); advances for services are taxed on receipt. A visit is not a new sale to the member.

4 Pay gyms the contract amount, tax-inclusive

Do this	Treat every gym payout amount as the inclusive contract figure.
How	If the gym is registered and eligible at 5%: ₹80 → ₹76.19 + ₹3.81. If unregistered: ₹80 with no GST. Keep the split configurable — the old 2:1 example (₹120 → ₹80 gym / ₹40 ZonoFit) is illustrative, not the current confirmed split.
Why	In Mode B the gym's GST is a cost to ZonoFit (no ITC on a 5% no-ITC supply), so the contract figure must already include it.

5 Renewals: first check what the credits represent

Do this	For a fresh ₹3,000 supply paid with ₹1,000 credits + ₹2,000 cash, invoice the full ₹3,000.
How	Fresh supply → GST ₹142.86 (not ₹95.24). Only if the ₹1,000 is a documented, already-taxed advance from the same supplier for the same obligation: allocate ₹47.62 already paid + ₹95.24 new = ₹142.86 total. Unknown credit history → block.
Why	How the customer pays does not reduce the value of the supply (Section 15). Linking a real advance avoids taxing it twice.

6 Classify every other charge separately (gated)

Do this	Treat the 2-credit cancellation charge, the 20% end-of-membership haircut, forfeited credits and ZonoFit's margin as separate items, each needing its own approved rule.
How	Preview only until approved: store credits, rule version and approval status; no ledger posting or tax document. Cancellation charge: follows the 5% membership rate if ancillary, may differ if an independent fee. If a fee is 18% inclusive, extract it (₹200 → ₹169.49 + ₹30.51), never add on. Forfeiture income ≠ automatic new GST.
Why	There is no blanket 18%. Circular 178/10/2022 ties ancillary cancellation charges to the main supply; Circular 243/37/2024 voucher breakage applies only if credits are genuine vouchers.

Still unresolved (keep switched off until answered)

- Credit ₹ value and where credits come from · cancellation window and forfeiture trigger · haircut base and whether it ever repeats.
- Legal issuer and GSTIN (Flex Lifestyle Ventures registration not verified) · current gym split % and basis · fee categories and place-of-supply rule.
- Carrying credits forward needs an RBI prepaid-instrument (PPI) review: one gym with no cash-out alone does not establish an exemption.

Before live: confirm the issuer and GSTIN, the gym split, and the fee categories with the CA.

Official sources

- **5% rate, no ITC — Notification 15/2025-CT(Rate), 17 Sep 2025**
  https://gst.karnataka.gov.in/Documents/NOTIFICATIONS/CTR1518925.pdf
- **SAC 999723 — GST scheme of classification of services**
  https://gstcouncil.gov.in/sites/default/files/2024-02/scheme_of_classification_of_services_amended.pdf
- **Cancellation charges — Circular 178/10/2022 (paras 11.3–11.4)**
  https://www.gstcouncil.gov.in/sites/default/files/2024-06/cir-178-08-2022-cgst.pdf
- **Vouchers / breakage — Circular 243/37/2024 (paras 6.2–6.3)**
  https://gstcouncil.gov.in/sites/default/files/2025-01/circular-no-243-2024.pdf